You are the auditor of Dainty Dentures Ltd (Dainty), a company specialising in the fabrication of custom-made dentures. It is May 20X4 and you are completing the audit for the year ended 31 December 20X3. You are reviewing your client's cash flow forecast for the next 12 months as part of your going concern assessment. The company has incurred a loss in the last year and at the year's end had net current liabilities of £2m. However, the forecasts project a year-end profit of £1m for the year to 31 December 20X4.

The directors of the company have assured you that the company is a going concern and have provided the following assumptions and information in relation to the cash flow forecast.

1. Sales are projected to increase by 40% as a result of a potential new contract which has been in negotiation with a national healthcare provider.
2. Industry reports have indicated that the price of a key raw material is expected to increase by 50% due to a global shortage, therefore this has been included in the forecast.
3. The company is planning an upgrade of its existing manufacturing equipment. This will require £500,000 of funding. The company expects that the bank will grant a 5 year loan of £500,000 at an interest free rate for the first year, and at a rate of 1% following this.
4. Quarter three includes a projected outflow of £100,000 in relation to a legal claim against the company by a group of customers who claim that their ill-fitting dentures have caused severe irritation, infection and further complications.
5. Although an emerging competitor captured 10% of the UK dentures market in the prior year, the directors do not consider that this will have any impact on Dainty's sales in future periods.

Required:

Evaluate the reasonableness of the assumptions provided and outline further audit evidence that would need to be gathered in relation to these to support the going concern assumption.